

Asia Vital Components (3017 TT)

Share price (7 Sep): TWD3,420.00

12-mth rating: **Buy (1)**

Information Technology: Taiwan

Record-high monthly revenue for August

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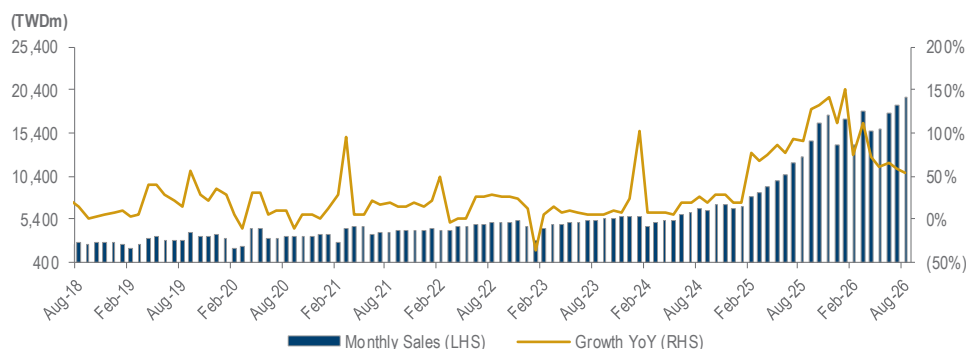
Summary: AVC reported its monthly revenue for August 2026 on 7 September after market hours, which came in at TWD19,481m (+4.8% MoM and +54.3% YoY; +76.1% YoY for 8M26), a record-high level. Its QTD revenue represents 67.3% and 67.1%, respectively, of our and the Bloomberg consensus estimates of 3Q26 revenue.

We have a Buy (1) rating and 12-month TP of TWD3,880, based on a target PER of 29x applied to our one-year-forward EPS estimate. For more information on the company, please refer to our latest flash, [2Q26 results review: improving margins profile](#), published on 12 August.

What's the impact

- **Record-high monthly revenue for August 2026.** On 7 September, AVC reported its monthly revenue for August 2026, which came in at TWD19,481m (+4.8% MoM and +54.3% YoY; +76.1% YoY for 8M26), a record-high level, and its QTD revenue accounted for 67.3% and 67.1%, respectively, of our (TWD56,590m, +15.2% QoQ and +45.3% YoY) and the Bloomberg consensus estimates for 3Q26 revenue. We attribute the growth to the strong demand driven by Nvidia's AI server, Grace Blackwell 300 (GB300), and Amazon's ASIC AI server, Trainium 3 (T3).

AVC: consolidated monthly sales



Source: Company

- **Bright 2H26 outlook.** We expect 3Q26 and 4Q26 revenue to grow QoQ by 15.2% and 21.3%, respectively, vs. respective Bloomberg consensus forecasts which call for growth of 13.0% QoQ and 14.5% QoQ, driven by Rubin and ASIC projects.

What we recommend

We have a Buy (1) rating and 12-month TP of TWD3,880, based on a target PER of 29x applied to our one-year-forward EPS estimate. Based on our 2026/27E EPS, the stock is currently trading at PERs of 33.2x/24.5x, vs. its past-3-year trading range of 5-28x. Key downside risks: slower-than-expected progress in high gross-margin orders; slower AI server adoption; and an economic downturn weighing on end-market demand.

In the interests of timeliness, this document has not been edited.

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Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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